

Project Initialization and Planning Phase

Date	23 June 2026
Team ID	XXXXXX
Project Name	Smart Lender – Loan Approval Prediction System
Maximum Marks	3 Marks

Define Problem Statements (Customer Problem Statement):

The current loan approval process is often time-consuming and involves manual verification, which can delay decisions. Applicants are uncertain about loan eligibility. Financial institutions also need a faster and more consistent way to evaluate applications. The Smart Lender system uses machine learning to predict loan approval based on applicant details, making the process quicker and more efficient.

Example:



Problem Statement (PS)	I am (Customer)	I'm trying to	But	Because	Which makes me feel
PS-1	A local small business owner looking to expand. .	Apply for a commercial business loan.	The manual documentation review takes weeks.	It takes a lot of paperwork to verify.	Frustrated by the slow pace and missing market opportunities.
PS-2	A recent college graduate with a new job.	Secure an education or vehicle loan.	I have no established credit history.	Banks require credit history.	Anxious about starting a independent life.